

Setup 3

The right half of the figure shows a similar setup. A small double bottom is at HI, confirmed when price closes above J (it's hard to see where that is, though). In this setup, we have a measured move down pattern from L to K (first leg), K is the corrective phase, and KH is the second leg.

We know from studying measured moves that price returns to the corrective phase 77% of the time (see [Table 46.5](#), where 23% remain below the corrective phase and 77% move higher). We know price is going to climb to K. K becomes our target. We use a buy stop a penny above the high at J, a limit order to sell at K, and place a stop a penny below the low at H.

Test these setups in the stocks and markets you trade. Make adjustments accordingly so that they work for your trading style.

Performance Contests

Imagine Dave likes to bowl and he plays three games per match. Over a month he competes five times and wins three out of five matches with one tie. If we tally his win/loss record not for the 15 individual games, but for the five matches, we find he wins 75% of the time (three of four contests with one tie). We might conclude that he's a good bowler or those competing against him are not. I built the following tables just like I described with Dave. They show how often an aspect of a chart pattern leads to better or worse performance.

[Table 1.1: Reversals versus Continuations](#) shows the results of the first contest: Which types of patterns perform better, those acting as reversals or continuations? Before I answer that, what is a reversal and a continuation?

A pattern acting as a reversal happens when price enters and exits a chart pattern from different directions (down going into the pattern and exiting out the top, or rising into a pattern and breaking out downward). Patterns acting as continuations see price enter and exit the chart pattern in the same direction (down going into the pattern and breaking out downward, or rising into a pattern and exiting upward).

For example, [Figure 1.7](#) shows double bottom AB acting as a reversal because price drops into the pattern and leaves it going upward. The